a sell rating to a buy rating, it is pretty likely that the stock price will move and move quickly right after the analyst's report is made public. Equity analysts do move stock prices and are considered the "rock stars" of investment research.

Quantitative analysts evaluate the relationship between various factors (both company and economic) and company returns. They use these factors to determine what is driving market returns (as opposed to company specific returns)—e.g., growth, value, quality, etc. Quantitative analysts determine optimal portfolios based on these relationships and their expectations of future market conditions. They also rely on optimization techniques, statistical analysis, and principal component analysis. However, unlike their equity analyst brethren, quantitative analysts do not move the market or cause volumes to increase. Portfolio managers do not typically incorporate recommendations from quantitative analysts directly into their portfolio. Instead, managers will use quantitative analysis for independent verification of their own findings, and as an idea generation group. Managers tend to rerun quantitative analyst studies to verify their results and to see if there is potential from their suggestions. Quantitative analysts are also used at times to run specified studies, evaluate specific factors, etc. In this role, they serve as an outsource consultant.

Transaction cost analysts are tasked with evaluating the performance of algorithms and making changes to the algorithms when appropriate. These analysts study actual market conditions, intraday trading patterns, and market impact cost. They perform market microstructure studies. The results and findings of these studies are incorporated into the underlying trading algorithms and pre-trade models that assist investors in determining appropriate trading algorithms. Unlike equity and quantitative analysts, transaction cost analysts do not make any stock or investment recommendations, and their research findings do not move stock prices. Buy-side traders rely on transaction cost analysts to understand current market conditions and the suite of trading algorithms.

Sales Function

The role of the sales person on the trading floor is to connect the buy-side client with sell-side research. There are three main areas of the selling function, which follows the research offerings described above. First, *equity sales*, also known as research or institutional sales, is responsible for providing the portfolio manager client with all company research. However, since the primary concern of the majority of